

department of the exchange and asked for confidential information on broker positions in certain stocks. Rathi would later claim that he had sought the information to see if the crash in the Sensex that day was caused by institutional investor selling or speculative selling, and direct risk management measures accordingly. Whatever his justification, this was in violation of the code of conduct for BSE governing board members. The taped conversation between Rathi and the surveillance official was leaked to the press by a BSE official, and Rathi was accused of seeking the information for his personal gains and of passing it on to the bear cartel. Subsequent probes could not prove the charge against Rathi that he personally gained from the information. But the damage was already done. Less than a week after the revelation, SEBI dismissed the entire board of directors of BSE.

The already beaten-down technology shares were hit by another thunderbolt when NIIT Technologies – among the darlings of the market – announced a profit warning. That soured the mood for a host of second-line IT services stocks such as VisualSoft, Polaris and KPIT Infosystems.

Amid a growing perception that bears were to blame for the chaos in the market, SEBI tried to arrest the slide by banning naked short sales. This ban meant a trader could only sell shares that he owned. He could not short-sell and then square up his position by buying an equivalent quantity of that stock later. On paper, this measure was expected to boost stock prices as rattled bears rushed to cover up their positions by buying the quantity of shares they had sold. Instead, the ban had the opposite effect, and the Sensex shed another 500-odd points over the next three sessions following the ban.

‘The bears may have stopped short-selling, but those with delivery are still selling. To support the market you need buying, which is simply not there,’ GB told me when I asked him for his view.

There was more bad news for the country coming. Only a couple of days after the BSE board was fired, a sting operation by the investigative website Tehelka.com showed senior defence officials and politicians from the ruling NDA coalition taking bribes in return for favouring a fictitious arms company. This was a big blow to the credibility of the government, which had always claimed it would not tolerate corruption. The government alleged that the exposé was deliberately timed to further dampen stock market sentiment. That was because Shankar Sharma of First Global